Accounting and Budgetary Systems for Engineers - INFO7225

MGEN

Accounting Information System (AIS) and Business Process Fundamentals (II)

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The Basics of Financial Accounting

Special topic 1: cash-basis vs. accrual-basis accounting

Special topic 2: merchandising transactions

Special topic 3: accounting for long-term assets

Summary: generally accepted acct. principles (GAAP)

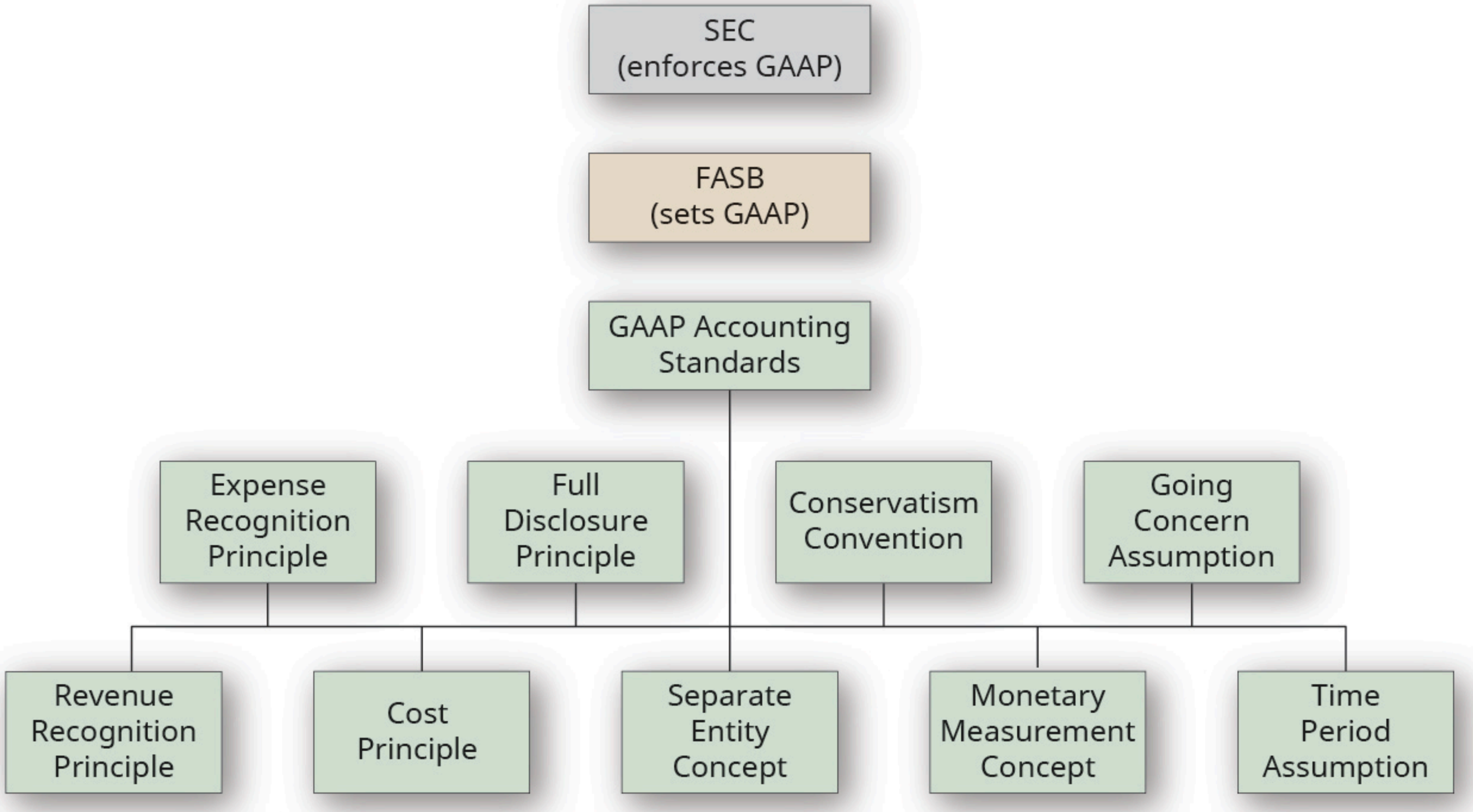
Cash Basis Accounting
vs.
Accrual Basis Accounting

LEARNING OBJECTIVES

After completing this session, you should be able to

- Explain the difference between cash basis and accrual basis of accounting;
- Apply revenue recognition principle and expense matching principle in accrual basis accounting.

GAAP Accounting Standards Connection Tree



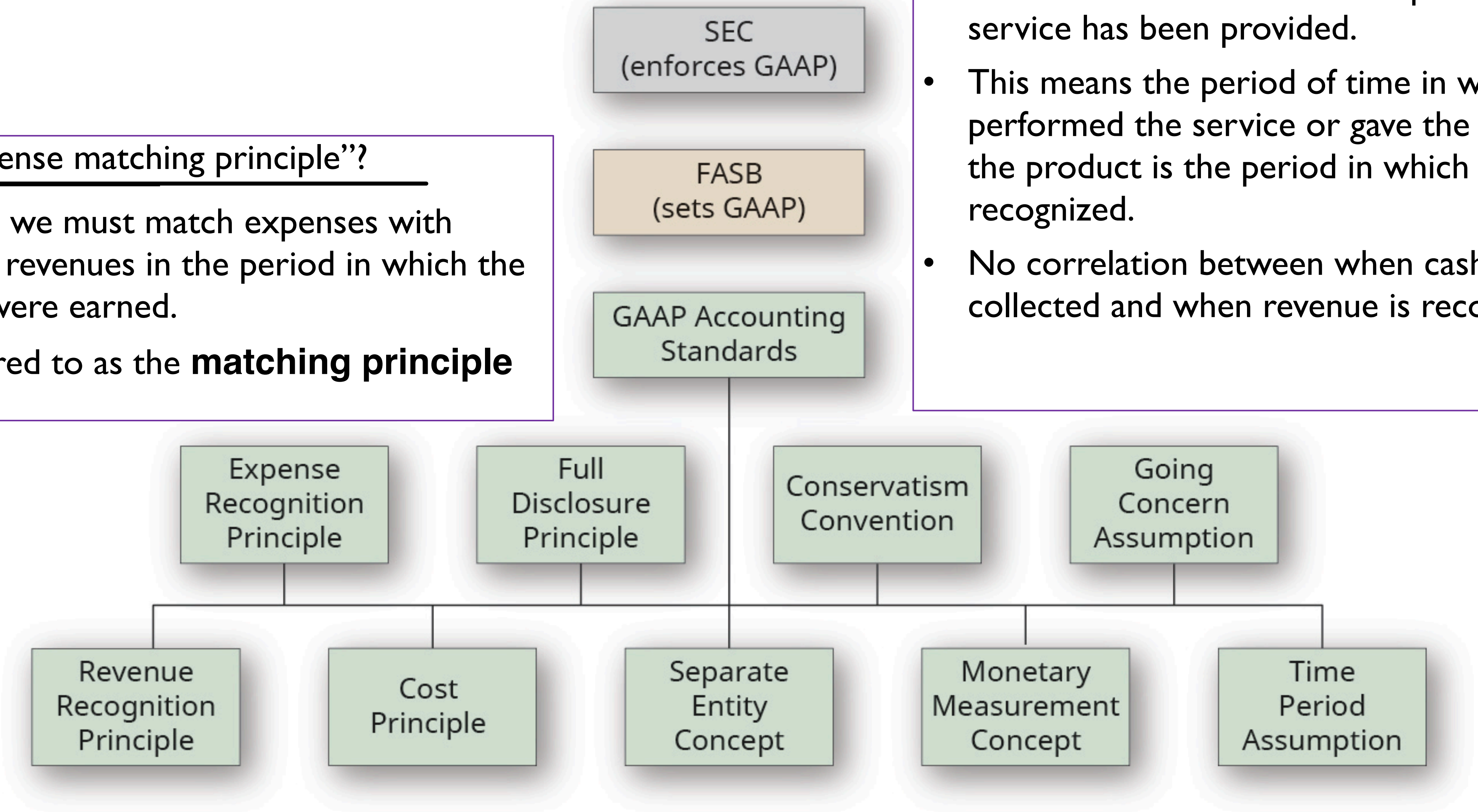
GAAP Accounting Standards Connection Tr

What is "expense matching principle"?

- States that we must match expenses with associated revenues in the period in which the revenues were earned.
- Also referred to as the **matching principle**

What is "revenue recognition principle"?

- Directs a company to recognize revenue in the period in which it is earned; revenue is not considered earned until a product or service has been provided.
- This means the period of time in which you performed the service or gave the customer the product is the period in which revenue is recognized.
- No correlation between when cash is collected and when revenue is recognized.



CASH ACCOUNTING VS. ACCRUAL ACCOUNTING

- Cash basis of accounting
  - ➢ Revenue and expenses are recorded only based on if there is an exchange of _______.

- Accrual basis of accounting
  - ➢ _________ are recognized as soon as a product has been sold or a service has been performed, regardless of when the money is actually received.
  - ➢ All costs that match revenues reported in the present period are recorded as __________, regardless of when the money is actually paid.

REVENUE RECOGNITION

REVENUE RECOGNITION: INTRODUCTION

- Revenue recognition is the process of recording revenue in the accounting period in which it was ________.
  - ➢ This is not necessarily when cash is __________.
- Most corporations assume that revenue has been earned when:
  - ➢ a sales invoice has been sent to a customer and the related goods have been received by a customer or services performed.

GAAP GUIDANCE ON REVENUE RECOGNITION

- GAAP provide guidance about when an economic activity should be recognized in financial accounting and reporting.
- An economic activity is recognized when it meets two criteria (whether payment has been received is **not** one of them):
  1. It is probable that any future economic benefit associated with the item will flow to the business; and
  2. It has a value that can be measured with reliability.

ACCRUAL BASIS OF ACCOUNTING: INTRODUCTION

- Under the accrual accounting principle, a company could earn and report $1,000 of revenue in its first month of operation but receive $0 in actual cash in that month.
- Example
  - ➢ ABC Consulting completes its service at an agreed price of $1,000.
  - ➢ ABC should recognize $_______ of revenue as soon as its work is done.
  - ➢ It does _____ matter whether the client pays the $1,000 immediately or in 30 days.
- Do not confuse revenue with a cash receipt.

CASH ACCOUNTING VS. ACCRUAL ACCOUNTING

ACE Corp.'s transactions in October

- Service performed in October totaled $20,000. $18,000 cash payment was received in October; $2,000 will be received in November.

BEE Corp.'s transactions in October

- Cash payment received in October totaled $20,000; $15,000 was for services that had be performed in October; $5,000 payment was for services that would be performed in November.

	Oct. Revenue (Cash Basis)	Oct. Revenue (Accrual Basis)
ACE Corp.		
BEE Corp.		

REVENUE RECOGNITION ILLUSTRATED:

THREE POSSIBLE SCENARIOS

1) Revenue was earned ________ cash was received.
2) Revenue was earned _________________ cash was received.
3) Revenue was earned ________ cash was received.

REVENUE RECOGNITION ILLUSTRATED (SCENARIO 1)

When revenue is earned and recognized *before* the receipt of cash payment from a customer.				
Date	Account/Explanation	R	Debit	Credit
	To recognize revenue earned on (date).			

When cash payment is later received from the above customer:				
Date	Account/Explanation	R	Debit	Credit
	To record payment received from customer #			

- Revenue is recognized in the _____ journal entry (the credit to revenue), prior to the receipt of cash.
- The second journal entry has ____ effect on revenue.

REVENUE RECOGNITION ILLUSTRATED (SCENARIO 2)

When cash is received at the same time when revenue is earned and recognized.

Date	Account/Explanation	R	Debit	Credit
	To recognize revenue earned and cash receipt			

REVENUE RECOGNITION ILLUSTRATED (SCENARIO 3)

When a cash deposit or advance payment is received *before* revenue is earned.

Date	Account/Explanation	R	Debit	Credit
	To recognize cash receipt and deferred revenue incurred on (date).			

Revenue is recognized only after the services have been performed:

Date	Account/Explanation	R	Debit	Credit
	To record revenue earned on (date)			

- Revenue is recognized in the ______ journal entry (the credit to revenue), after the receipt of cash.
- The _______ journal entry has no effect on revenue.

REVENUE RECOGNITION: SUMMARY

	Revenues have been earned	Revenues <u>not</u> yet earned
Cash payments have been received from customers.	Revenues should be recognized (debit _______/credit ________)	Revenue should **not** be recognized; A ____________ is created (called unearned revenue or deferred revenue)
Cash payments have **<u>not</u>** been received from customers.	Revenues should be recognized (debit _______/credit ________)	No transaction and no journal entry

EXPENSE MATCHING

EXPENSE MATCHING PRINCIPLE

- The matching principle requires that expenses be matched with revenues.
- Examples:

Example 1

Wages to employees are reported as an <u>expense</u> in the week when the employees worked and ***not*** in the week when the employees are paid.

Example 2

If a company agrees to give its employees 1% of its 2019 revenues as a bonus on January 15, 2020, the company should report the bonus as an expense in ______.

Cost Outlays

Incurred to produce revenue in the ***present*** accounting period

Record as ___________

Examples:
- Rent expense
- Insurance expense
- Office supplies expense

Incurred to produce revenue in ***future*** accounting period

Record as ________

Examples:
- Prepaid rent
- Prepaid insurance
- Unused office supplies

EXPENSE RECOGNITION ILLUSTRATED

An example of when expenses are incurred ***before*** cash is paid occurs when the utilities expense for January is not paid until February.

In this case, an account payable is created in January as follows:

Description	Debit	Credit

On which financial statement and which month this utilities expense is reported?

________________________ ______________

When the January utilities are paid in February, the following is recorded:

Description	Debit	Credit

Does this entry have any effect on expenses reported on the February income statement?

____

EXPENSE RECOGNITION ILLUSTRATED (CONT'D)

Expenses can also be recorded *at the same time* when cash is paid.

For example, if salaries for January are paid on January 31, the entry on January 31 is:

Description	Debit	Credit

As a result of this entry, salaries expense is reported on the __________ income statement when cash is paid.

When a cash payment is made before the expense is incurred, such as insurance paid in advance:

Description	Debit	Credit

As the prepaid insurance is used, an expense should be reported on the income statement by recording the following entry:

Description	Debit	Credit

EXPENSE RECOGNITION SUMMARY

- The preceding examples illustrate how to match expenses to the appropriate accounting period.
- The matching principle requires that expenses be reported ***in the same period*** as the revenues they helped generate. That is, expenses are reported on the income statement:
  - ➢ **When related revenue is recognized, or**
  - ➢ **During the appropriate time period when it is consumed, regardless of when cash is paid.**
- To ensure the recognition and matching of revenues and expenses to the correct accounting period, account balances must be reviewed and **adjusted** prior to the preparation of financial statements.

REVENUE RECOGNITION & EXPENSE MATCHING SUMMARY

	Revenues has been earned	Revenues <u>not</u> yet earned
Cash payments have been received from customers.	Revenues should be recognized (debit _______/credit _______)	Revenue should not be recognized; A __________ is created (unearned revenue/deferred revenue); debit _______/credit _______
Cash payments have **<u>not</u>** been received from customers.	Revenues should be recognized (debit _______/credit _______)	No transaction and no journal entry

	Costs Recorded as Expense	Costs Recorded as Assets
Cash payments have been made	Paid for *present* period revenue Expenses are recognized (debit _______/credit _______)	Paid for *future* period revenue No expense is recognized; An _______ is created (prepaid expense or deferred expense); debit _______/credit _______
Cash payments have yet to be made	Expense are recognized (debit _______/credit _______)	N/A

Questions?